

DeFi Primitives

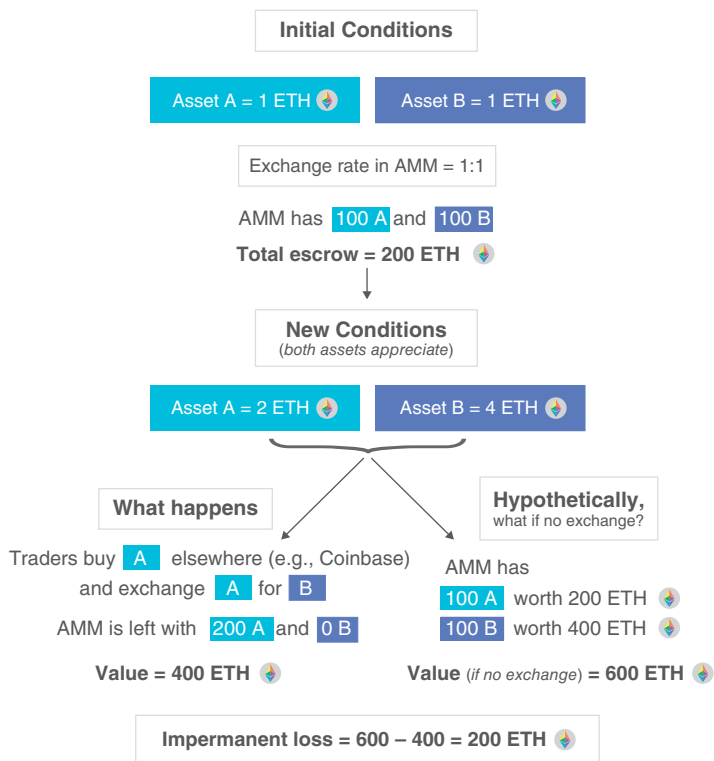


Figure 4.5 The mechanics of automated market makers

in the contract for asset A because asset B is more valuable. The contract then holds 200 of asset A worth 400 ETH. In this case, the contract's return is 100 percent.

If, however, the contract does not sell asset B, the contract's value would be 600 ETH. The contract has an impermanent loss equal to 200 ETH, the difference between 600 ETH and 400 ETH. If the contract's holdings return to